Revision Date:
07/01/2024

Background:
A fraudulent overissuance (OI) is a claim determined to have been caused by an Intentional Program Violation (IPV). An IPV can only be established during the following processes: an Administrative Disqualification Hearing (ADH) decision, when a customer signs an ADH waiver, during a criminal court conviction, or when a customer signs a Disqualification Consent Agreement.

Purpose:
This section provides guidance on IPV criteria and fraud referrals.

Policy:
An IPV disqualifies a customer from receiving CalFresh, either for a limited time or permanently. Disqualification periods are based on the offense type and frequency. An IPV is determined when one of the following actions is taken by a household (HH) member or their sponsor:

- Providing a false or misleading statement, misrepresentation, concealment, or withholding of facts.
- Not complying with the CalFresh program regulations or statute relating to the use of benefits (for example, presentation, transfer, acquisition, receipt, or possession of CalFresh benefits).
- Trafficking of benefits, Electronic Benefit Transfer (EBT) cards, or devices that deliver benefits.

1. IPV Disqualification Periods:

If an IPV is established by a criminal court conviction or ADH decision, the convicted IPV disqualification periods are as follows:

Disqualifying Acts	Disqualification Period
Trading CalFresh for a controlled substance.	• Two-year disqualification for the first conviction. • Permanent disqualification for the second conviction.
Trading CalFresh benefits for firearms, ammunition, or explosives.	• Permanent disqualification for the first conviction.
Falsifying the identity or place of residence of an individual to receive multiple CalFresh benefits.	• Ten-year disqualification.
Trafficking in CalFresh benefits with a value of $500 or more.	• Permanent disqualification for the first conviction.
For any other IPV.	• One-year disqualification for the first conviction. • Two-year disqualification for the second conviction. • Permanent disqualification for the third conviction.

Note: Customers may request to be reinstated verbally, in person, writing or by submitting the Request for Restoration of CalFresh Benefits After Administrative Disqualification form (CF 377.7A1).

2. Referrals to BPAI:
When reviewing eligibility, identify cases where fraud is suspected and generate referrals to the Bureau of Public Assistance Investigations (BPAI) for criminal prosecution. If fraud is suspected and one or more of the following criteria are found, then refer alleged IPV cases and Inadvertent Household Error (IHE) OIs to BPAI:

- The CalFresh OI is customer caused and is $5,000 or more.
- A combined customer caused CalWORKs/CalFresh overpayment (OP)/OI of $5,000 or more.
- There is a prior IPV and there is a current customer caused OI of $400 or more.

References:
All County Letters (ACLs) 17-41, 17-118, 18-22, 23-19.
Manual Policies and Procedures (MPP) 63-804, 20-300.1, 300.3, 20-007, 20-300.2, 20-352.
Code of Federal Regulations (CFR) 273.16.

Sunset Date:
This policy will be reviewed for continuance on or by 06/30/2027.

Approval for Release:
7-29-24
Rick Wanne, Director
Self-Sufficiency Services